

But there are some reason due to which there are differences in returns:

Funds incur various costs for daily management, transaction fees, and other operational expenses, which are deducted from the fund's assets.

Sometimes, the fund may not be able to purchase all the exact stocks in the index due to factors like minimum investment requirements or limited availability.

Other Factors like High Cash Inflows in the fund- outflows, corporate actions (like mergers), and even cash held for liquidity can subtly influence performance.

**Lower the tracking difference the better,
as it means your returns are
closer to what the index delivers.**